

Nominal losses are recognised, but inflationary real losses are not

Australian income tax scale



— 50% discount; nominal losses recognised — Real gains taxed; full loss offset — Real gains taxed; nominal losses recognised

Asset cost base: \$1,000,000. Held for 10 years. Inflation: 2.5% per year. Excludes Medicare levy and offsets. Full real loss offset is shown as a compa